**CORPORATE LAWS AND PRACTICES**

Suggested Answers
November-December 2023

**Answer to the Question# 1(a) (i):**

**(a) Increase the dividend rate in shareholders meeting in case the tax rate is reduced:**
Dividend should be declared by the Members at an Annual General Meeting on the basis of recommendation of the Board. Members may declare a lower rate of Dividend than what is recommended by the Board. The amount or rate of Dividend recommended by the Board cannot be increased by the Members. Hence, taking a resolution in the shareholders meeting that it will increase the dividend rate subsequently considering there is decrease in tax rate, will not work as it will be considered non-compliance.

**(b) Adjust the shortfall from capital reserve in shareholders meeting (created based on share premium account) in case the tax rate is increased:**
Dividend should be paid out of the profit of the company for the financial year or out of profit(s) for the previous financial year(s). Dividend should not be declared out of the Share Premium Account or the Capital Reserve Account or Revaluation Reserve Account or out of profit earned prior to the incorporation of the company. Hence, the shortfall in retain earnings cannot be adjusted from share premium account, if there is negative balance in the retain earnings, caused by dividend payment as per last year's corporate income tax rate, if the tax rate is significantly increased subsequently through Finance Act 2024.

**(c) Payment of dividend in July'24, which was declared in Feb'24 in Shareholders meeting:**
If it is a listed company, once dividend is declared, it is to be paid within thirty days of declaration as per the listing regulations 2015. The amount of Dividend after deducting tax at source, if applicable, should be deposited in a separate bank account immediately after declaration of Dividend.

Hence, the dividend which has been declared in the shareholders meeting in Feb'24 and Company decides to pay such dividend in July'24, it will be considered non-compliance.

**(d) Revoking the dividend declared to pass a further resolution in shareholders meeting considering the correct corporate income tax rate:**
Dividend, once declared, becomes a debt of the company and it cannot be revoked in any way. Hence, the idea of revoking declared dividend through a further resolution in shareholders meeting is not legally possible to address the situation.

**Answer to the Question# 1(a) (ii):**

**Possible exposure, if there is excess payment of dividend (i.e., more than the available profit) due to significant increase in corporate income tax rate subsequently:**

Here the key point is, when the dividend was declared, at that point in time it was paid out of available profit only, which was computed based on the prevailing corporate income tax rate. Also, in February'24, when the dividend was declared, the Company was not in a position to predict, what would be the tax rate to be determined in the Finance Act 2024 in June 2024. In this circumstance, the Company cannot reverse or revoke the dividend it declared in February'24, however the Company can adjust this in the next dividend payout amount.

**Answer to the Question# 1(b) (i):**

A duly convened Meeting shall not be adjourned arbitrarily by the Chairman. The Chairman may adjourn a Meeting with the consent of the Members. Meetings may also be adjourned for want of requisite Quorum. The Chairman may adjourn a Meeting in the event of disorder or other like causes, where it becomes impossible to conduct the Meeting and complete its business.

**Answer to the Question# 1(b) (ii):**

Adjournment sine die is a Latin term that means "without day" or "without fixing a day for future action". It is a type of privileged motion that requires a second and a majority vote and is not debatable or amendable. A corporate board may adjourn sine die if the business is being sold, merged, or liquidated. This means that the board will not meet again in its current form or membership. In this case, there's no situation like the

business is being sold, merged, or liquidated to invoke a sine die situation. Hence, the meeting Chairman cannot adjourn sine die this meeting considering the situation of the original Chairman.

**Answer to the Question# 1(c):**

ABC Trading Ltd. may be winded up voluntarily as the event occurs for which the articles provides that the company is to be dissolved and the company in general meeting has passed a resolution for winding up voluntarily;

This is the liquidator‘s responsibility in any voluntary winding-up to settle the company’s debts and change the creditors’ right among themselves. Here is the comprehensive step-by – step method of voluntary wind-up of a Bangladesh company.

**Step One: Drafting documents for Winding Up**

The first step on the process of winding up is to prepare documents. The documents that need to be prepared are:

1. Declaration of Solvency, (which includes information such as the company has no debts among other things) and
2. Profit and Loss Account and
3. Audited Balance.

The above-mentioned documents will have to be approved by the majority directors of the company.

**Step Two: Submission to RJSC**

The next step is to file the approved Declaration of Solvency to the RJSC within 5 (five) weeks from the approval by directors.

**Step Three: Pass Special Resolution**

The third step requires the Extraordinary General Meeting to pass a special resolution. This is to approve the company’s decision to wind down and the liquidator appointment. It should be noted that the meeting’s content is also to be filed with the RJSC. The special resolution will then be published in the official Gazette, and in a newspaper circulated in the district where the company’s registered office is located. It will be achieved within 10 (ten) days of the special resolution passing it.

**Step Four: Appointing Liquidator**

Once the chosen liquidator has been approved by the extraordinary general meeting and the liquidator has accepted the appointment, such must be notified to the RJSC. In addition, the Deputy Commissioner of Taxes will also be informed of the same within 30 (thirty) days of the said appointment.

**Step Five: Final Report by Liquidator**

At this stage the liquidator needs to prepare a Final Account. The Final Account must have the details of how the winding up has been conducted and the assets distributed. Thereafter, the liquidator will call an extraordinary general meeting and the notice for that must be circulates by advertisement in the official Gazette, and in a newspaper. Such a notice must be given not less than one month before the meeting.
The special resolution will be passed in the extraordinary general meeting with regards to the disposal of the books and papers of the company.

**Step Six: Documents filing to RJSC**

Lastly, a final meeting must be hold and a return of the meeting must be submitted to the RJSC upon which the company will be winded up. The submission must be made within one week of the meeting.

**Step Seven: Petition filing to Court for Winding Up**

For voluntary winding up, the petition to the court is made at this stage. All the documents relevant to the winding up of the company are submitted to the court. The court being satisfied, declares that the company has been dissolved. This stage is essential to avoid any allegation of fraud later on.

**Answer to the Question# 2(a):**

To submit income tax return by the company, it is required to submit audited financial statements along with the income tax return;

Such audited financials shall be presented before the shareholders in the Annual General Meeting (AGM) for their approval [u/s 183, Companies Act, 1994].

Further, generally the statutory auditors of the company for audit of the annual financials shall be appointed by the shareholders in the AGM [ u/s 210, Companies Act, 1994].

In line with the above law reference, first of all we should prepare the financial statements for each year. Permission from the High Court shall be obtained to conduct AGMs after due date as per section 81 of the Companies Act, 1994. Auditors should be appointed in those AGMs and the audited financials with Document Verification Certificate (DVC) shall be approved by the shareholders in those AGMs.

With those, annual returns as well as the income tax returns shall be prepared and be filed with respective authorities with applicable fine for delay submission.

**Answer to the Question# 2(b) (i):**

The Securities and Exchange Commission (Rights Issue) Rules, 2006 has defined the following preconditions for the Rights offer-

(a) Shareholders approval for Rights issue and price thereof:
(b) Fully utilization of the proceed of previous public offering, or rights issue;
(c) Regular in conducting AGM;
(d) the rights issue has been fully underwritten on a firm commitment basis by the underwriter;
(e) the financial statements of the company is prepared as per International Accounting Standards (IAS), as applicable in Bangladesh, and audited as per International Standards of Auditing (ISA) as applicable in Bangladesh;
(f) Clan CIB of directors;
(g) Credit Rating report for issue price at premium; and
(h) Profitability record in the immediate preceding year.

Yes, the company is eligible for Rights in most of the cases except the clean auditors report and finalization of appointment of Underwriters for full subscription of Rights issue. Before placing the proposal to the board matter of emphasis should be cleared and need to obtain clean audit report as per IFRS.

**Answer to the Question# 2(b) (ii):**

**To execute for the rights issue, the following time bound steps need to be followed-**

a) A board meeting to hold to propose the rights issue to the shareholders in the AGM. A record date should be decaled for that AGM;
b) Within 120 days of closing of financial year i.e. within 31 October 2023, the compete set of application shall be submitted to BSEC for its approval;
c) Annual General Meeting for shareholders' approval of rights offer shall be competed before 31 October 2023;
d) within 15 (fifteen) working days of approval by the AGM, application along with the offer documents shall be submitted to the BSEC;
e) within three working days from the date BSEC approval, announce the record date for determination of entitlement of rights issue as PSI along with along with purpose of the rights issue, amount of issue, price of rights share and subscription opening and closing dates;
f) The record date shall be between 14 to 21 working days from the date of BSEC approval;
g) Within 10 working days from the record date deliver offer document approved by the Commission to the shareholders entitled to have rights shares, stock exchange(s) and the Commission;
h) Subscription opening date shall commence after fifteen days from the record date for the period of not less than 15 days and not more than 30 days;
i) post the rights offer document in the company's website and also put on the websites of the Commission, stock exchanges, and the issue manager within 3 (three) working days from the date of according by BSEC and shall remain posted till the closure of the subscription period.

The issue of appointing underwriters is to be solved to avoid non-compliances.

**Answer to the Question# 2(b) (iii):**

Within 10 days of closing of the subscription lists for subscription of the under-subscribed shares, the underwriter shall subscribe to such under-subscribed shares within 15 days of calling thereof by the company.

The directors and other shareholders holding 5% or more shares shall be subject to lock-in for a period of 3 years from the date of closure of the rights share subscription. In the event of renunciation of rights share by aforesaid persons, the renounced shares shall also be subject to lock-in for the same period.

**Answer to the Question# 2(c):**

The bank should explain their position again in their letter why they could not form NRC as the sub-committee of the board. Being the auditors, our response will be as-

Ref. No. XYZ/ ABCB/DSE/01

26 October 2023

Dhaka Stock Exchange Ltd.
Stock Exchange Building
9/F Motijheel C/A
Dhaka-1000.

Dear Sir,
Response to the queries on ABC Bank PLC's compliance status of CGC 2022

Greetings from XYZ Consulting Ltd.!

With refence to your letter Ref. No. DSE/CGF/LC-86/2022/5222, dated 18 October 2023, we would like to update you that XYZ Consulting Ltd. being the duly appointed auditors for certifying the Corporate Governance Code (CGC) of ABC Bank PLC for year 2022, have issued a certificate as "Satisfactory" on 05 May 2023 on the compliance status of the Corporate Governance conditions of the bank for the year 2022.

We have reviewed all supporting information/ documents against their compliance status. Hence, in response to our queries on formation of Nomination & Remuneration Committee (NRC) by the bank, the bank has shared us with the letter of Bangladesh Bank as stated in their compliance checklist of Directors' Report as per Bangladesh Securities and Exchange Commission (BSEC)'s Corporate Governance checklist – Annexure C.

Further, the bank has shared us with the correspondence made to Bangladesh Securities and Exchange Commission and Bangladesh Bank in this regard (attached). Bangladesh Bank has not permit them to form NRC and to make subsequent compliance in this regard.

Since, they were compliant with all the conditions of CGC except the formation of NRC as sub-committee of the board and it related compliance, we issued a "satisfactory" report.

We have also mailed the same response to: cgfrc@dse.com.bd.

Hope we have been able to explain our position in this regard.
Thanking you.

Yours faithfully,
Director, XYZ Consulting Ltd

**Answer to the Question# 2(d):**

**According to the Corporate Governance Code 2018, the Board of Directors of every listed company.**

(i) Shall appoint a Managing Director (MD) or Chief Executive Officer (CEO), a Company Secretary (CS), a Chief Financial Officer (CFO) and a Head of Internal Audit and Compliance (HIAC);
(ii) The positions of the Managing Director (MD) or Chief Executive Officer (CEO), Company Secretary (CS), Chief Financial Officer (CFO) and Head of Internal Audit and Compliance (HIAC) shall be filled by different individuals;
(iii) The MD or CEO, CS, CFO and HIAC of a listed company shall not hold any executive position in any other company at the same time;
(iv) The Board shall clearly define respective roles, responsibilities and duties of the CFO, the HIAC and the CS;

(v) The MD or CEO, CS, CFO and HIAC shall not be removed from their position without approval of the Board as well as immediate dissemination to the Commission and stock exchange(s).

The MD or CEO, CS, CFO and HIAC of the company shall attend the meetings of the Board: Provided that the CS, CFO and/or the HIAC shall not attend such part of a meeting of the Board which involves consideration of an agenda item relating to their personal matters.

Therefore, Mr. X shall not be the CFO, CS and HIAC of PQR plc and CFO and CS of SRT Ltd. at a time. He can hold only one position in PQR plc.

**Answer to the Question# 3(a):**

As per the Financial Reporting Act 2015, the independence of the auditors while carrying out responsibilities are as follows:

1) An enlisted auditor will perform his/her duties independently and he/she will not do any work contrary to the audit practice code made by the Council or will not be involved in any such activity as the enlisted auditor [ref. section 37(1)]
2) The Council may review the specific procedures for providing necessary assistance and information about the audit practices by the auditor enlisted by regulation [ref. section 37(2)]

Under the circumstances, being the enlisted auditor in public interest entity, upon identifying the significant irregularities, that has been done purposefully to achieve sales revenue so that the management employees get incentive bonus, you should immediately do the following:

i) Inform the details description of the irregularities in writing to the members of the Board of Directors of Public Interest Entity and its officers; and
ii) Request every person referred to above individually and jointly to take appropriate actions in relation to such irregularities.
iii) The auditor may provide with a modified audit opinion if irregularities are not solved by the client.

If the concerned Public Interest Entity does not take any action in respect of such irregularities despite informing them by the enlisted auditor in writing, the enlisted auditor in that circumstances may consider the matter to inform to the Council, the Professional Accounting Institute, the Controlling Agencies and so on and any other statutory body or Parliament established under the law or rules as per the law. The auditor may also decline to perform the audit.

**Answer to the Question# 3(b) (i):**

In accordance with the Financial Reporting Council Act 2015 read with the gazettes dated 16 February 2023 issued by FRC, ABC & Co. should not be considered as a Public Interest Entity (PIE) in the year 2023, because it does not satisfy any of the following requirements.

i) Its turnover for the previous year 2022 was BDT 25 Crore only (i.e. less than BDT 50 Crore); or
ii) its total liability (excluding equity) as on the previous year-end on 31 December 2022 was BDT 9 Crore (i.e. less than BDT 10 Crore).

**Answer to the Question# 3(b) (ii):**

In accordance with the gazette dated 19 January 2021 issued by the FRC, the auditor of XYZ Ltd. should sign the audit report in his/her own name. An extract of the signature part of such audit report is given below:

Name of firm:
Registration No of firm:
Signature of the Auditor:
Name of the Auditor:
Enrolment No of the Auditor:

**Answer to the Question# 4(a):**

According to 2nd proviso of section 26A (1) of Bank Companies Act 1991, no bank shall have an investment exposure in Capital Market more than 25% of its total Shareholders' Equity. Here CD Bank plc. has a total capital of BDT 1500 crore and such maximum capital market exposure of the bank shall be BDT 1500 crore x 25% = BDT 375 crore.

However, Treasury Head has already Invested BDT 400 crore which is a serious violation and punishable under sub section (3) of this section which may cause a maximum penalty of BDT 20,00,000/- and BDT 50,000/- per day for which default continues.
Therefore, Treasury shall take immediate action to reduce the exposure limit maximum to BDT 375 crore and there is no question of further investment.

According to sec 26A (1) (a) and (b), a Bank can hold shares of another company equivalent to 5% of its Total Shareholders' Equity and such maximum investment limit in the share capital of a specific company is BDT 1500 Crore x 5% = BDT 75 crore. So, investment of BDT 75 crore in PQR Ltd. is within the given limit and there is no violation of law. On the other hand, a bank can invest in the Shares and Securities of a company equivalent to 10% of such company's capital. Here, investment of BDT 75crore in MNP Ltd. has exceeded the maximum limit (BDT 500 crore x 10%) of BDT 50 crore and is a violation of law and is punishable under sub-section 3 of this section. Therefore, Treasury Head must downsize the existing exposure limit to a maximum of BDT 50 crore.

**Answer to the Question# 4(b) (i):**

According to section 26 B of Bank Companies Act 1991, the gross amount of the principal of the entire credit facility disbursed or to be disbursed in favor of any individual establishment or group shall not exceed in no circumstances 25% of total capital. In this case the Credit exposure limit for a single client or group shall be BDT 400 crore (Total Capital BDT 2000 crore x 25%)

**Answer to the Question# 4(b) (ii):**

Although ABC Group has no shareholding in the capital structure of River IT Ltd., but as per explanation of the section 26 B of Bank Companies Act 1991, should be viewed as a singular client. As per explanations, 'Group' means a borrower or any other individual, establishment or company connected with him directly or indirectly, financial solvency of one of them affects that of the other, or shall include all of them due to whose existing relationship, liability and benefit of one vest in the other.

**Answer to the Question# 4(b) (iii):**

Yes, loan can be sanction / disbursed to River IT Ltd., under a concern of ABC Group. Since the total limit for ABC group is BDT 400 crore and existing outstanding Balance is BDT 370 crore, up to BDT 30 crore (BDT 400 crore – BDT 370 crore) may be sanctioned and disbursed favoring River IT Ltd.

**Answer to the Question# 5(a):**

Yes, the amended requirement of the companies' act is applicable for ABC Finance Ltd as well as it is a public limited company. As per the financial institution Act 1993 every NBFI should be a public limited company. So PLC is to be written replacing Ltd. to comply with the section 11Ka of the Companies Act 1994.

**Answer to the Question# 5(b):**

For amending the name of the Company as per section 11 of the Companies Act 1994 and its related changes in the memorandum and articles of association, the FI should hold board meeting first for recommending the changes to the shareholders' general meeting to pass as the special resolution.

Thereafter, the NBFI will within 15 days submit the special resolution through form VIII to the registrar alog with the revised memorandum and articles of association. Certified copies of revised memorandum and articles of association and special resolution are to be obtained from the registrar. No court permission will be required for such changes.

The intimation should be given to Bangladesh Bank after completion of due formalities with RJSC.

**Answer to the Question# 6(a):**

As per Section 27 of Insurance Act 2010, every insurer in respect of all insurance business transacted by him in Bangladesh shall at the expiration of each calendar year prepare with reference to that year the following statements:

- balance sheet in the form and procedures set forth in the Act;
- profit and loss account in the form set forth in the Act;
- in respect of an insurer who is required under this law to keep a separate account of receipts and payments, a revenue account in the form set forth under the provisions of this Act; and
- a statement containing the names and descriptions of the persons in charge of management of the business during the year and a report on the affairs of the business

If the insurer is a company under the Companies Act, the balance sheet, profit and loss account, revenue account and the report under sub-section (I) shall be signed by the Chairman, two directors and the principal officer of the company, or in the case of a cooperative society under the Co-operative Societies Act the accounts shall be signed by two members.

Every insurer shall maintain fund related account of his shareholders and policy holders separately in accordance with the provisions of the Act.

**Answer to the Question# 6(b):**

Surrender Value = (Premium paid/premium payable) x sum insured. The ratio between the two is Tk.6,400/- Tk.32,000/- = 1/5.

The Surrender Value of the policy is 1/5 x Tk.20,000/- = Tk.4,000/-.

**Answer to the Question# 7(a):**

**Maternity benefit:**
Section 2(34) of the Bangladesh Labour Act 2006 ('Law') defined 'maternity benefit' as the sum of money payable under the provisions of chapter IV of the Law to a woman worker with leave. Maternity Benefit is basically the benefit of getting full paid absence from work. This benefit is given to the woman with the motive to help her in taking care of her child. It is paid in respect of the period of eight weeks preceding the expected day of her delivery and eight weeks immediately following the day of her delivery.

**Answer to the Question# 7(b):**

**Maternity leave entitlement and the conditions to be fulfilled:**
Section 46(1) and (2) of the Bangladesh Labour Act 2006 described the maternity leave entitlement and the conditions therein to be fulfilled as follows:

Right to, and liability for, payment of maternity benefit:

(2) every woman employed in an establishment shall be entitled to and her employer shall be liable for, the payment of maternity benefit in respect of the period of eight weeks preceding the expected day of her delivery and eight weeks immediately following the day of her delivery:

Provided that a woman shall not be entitled to such maternity benefit unless she has worked under the employer, for a period of not less than six months immediately preceding the day of her delivery.

(3) No maternity benefit shall be payable to any woman if at the time of her confinement she has two or more surviving children, but in that case, she shall be entitled to the leave to which she would otherwise be entitled.

**Answer to the Question# 7(c):**

**Computation of the maternity benefit that the female workers A, B and C is entitled:**

As per newly inserted Rule 39ka under Bangladesh Labour Rules 2025, for the purpose of computation of maternity benefit, the average wages per day is to be calculated based on the amount received as latest wages and divided the same by twenty six (26).

On the other hand:

(1) proviso under section 46(1) provides that a woman shall not be entitled to such maternity benefit unless she has worked under the employer, for a period of not less than six months immediately preceding the day of her delivery; and

(2) section 46(2) of the Bangladesh Labour Act 2006 provides that no maternity benefit shall be payable to any woman if at the time of her confinement she has two or more surviving children, but in that case, she shall be entitled to the leave to which she would otherwise be entitled.

Considering the above, the entitlement of maternity benefit will be as follows:

| Female Worker | Joining date (dd/mm/yyyy) | Number of surviving children | Latest wages received in Oct'23 (Tk.) | Entitled (Yes/No) | Per day average wages | Entitlementas per law For 16 weeks (in Tk.) |
|---|---|---|---|---|---|---|
| A | 01/12/2019 | 0 | 18,200 | Yes | 700 | 700 x 112 days = Tk. 78,400 |
| B | 01/07/2022 | 2 | 14,000 | No | N/A | N/A |
| C | 01/09/2023 | 1 | 20,000 | No | N/A | N/A |

**Note:**

1. B is not entitled because as per section 46(2) of the Bangladesh Labour Act 2006, at the time of her confinement she has two surviving children.
2. C is not entitled because as per proviso under section 46(1) of the Bangladesh Labour Act 2006, she has worked under the employer, for a period of less than six months immediately preceding the day of her delivery.

**Answer to the Question# 7(d):**

**Leave entitlement in case of miscarriage:**

As per newly inserted Rule 38ka under Bangladesh Labour Rules 2025, if there is any miscarriage happened for any female worker before she avails the maternity leave, she can enjoy four weeks leave for health reason and no wages can be deducted against such leave or such leave cannot be adjusted with any other leave.

---The End---